

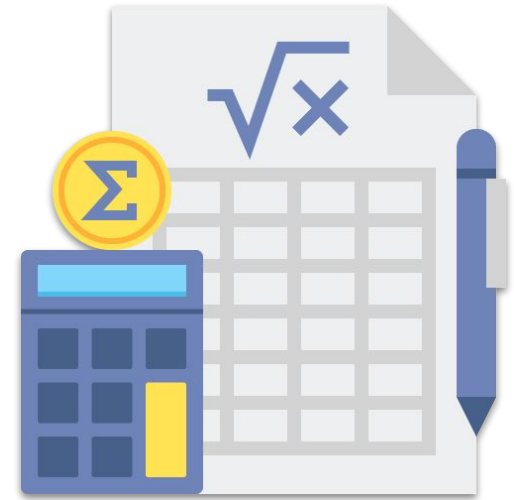
Accounting Equation

The divine proportion

Why the Accounting Equation?

The accounting equation lies on the heart of accounting and is considered to be the foundation of the double-entry accounting system. On a company's balance sheet, it shows that a company's total assets are equal to the sum of the company's liabilities and shareholders' equity.

Based on this double-entry system, the accounting equation ensures that the balance sheet remains “balanced,” and each entry made on the debit side should have a corresponding entry (or coverage) on the credit side.

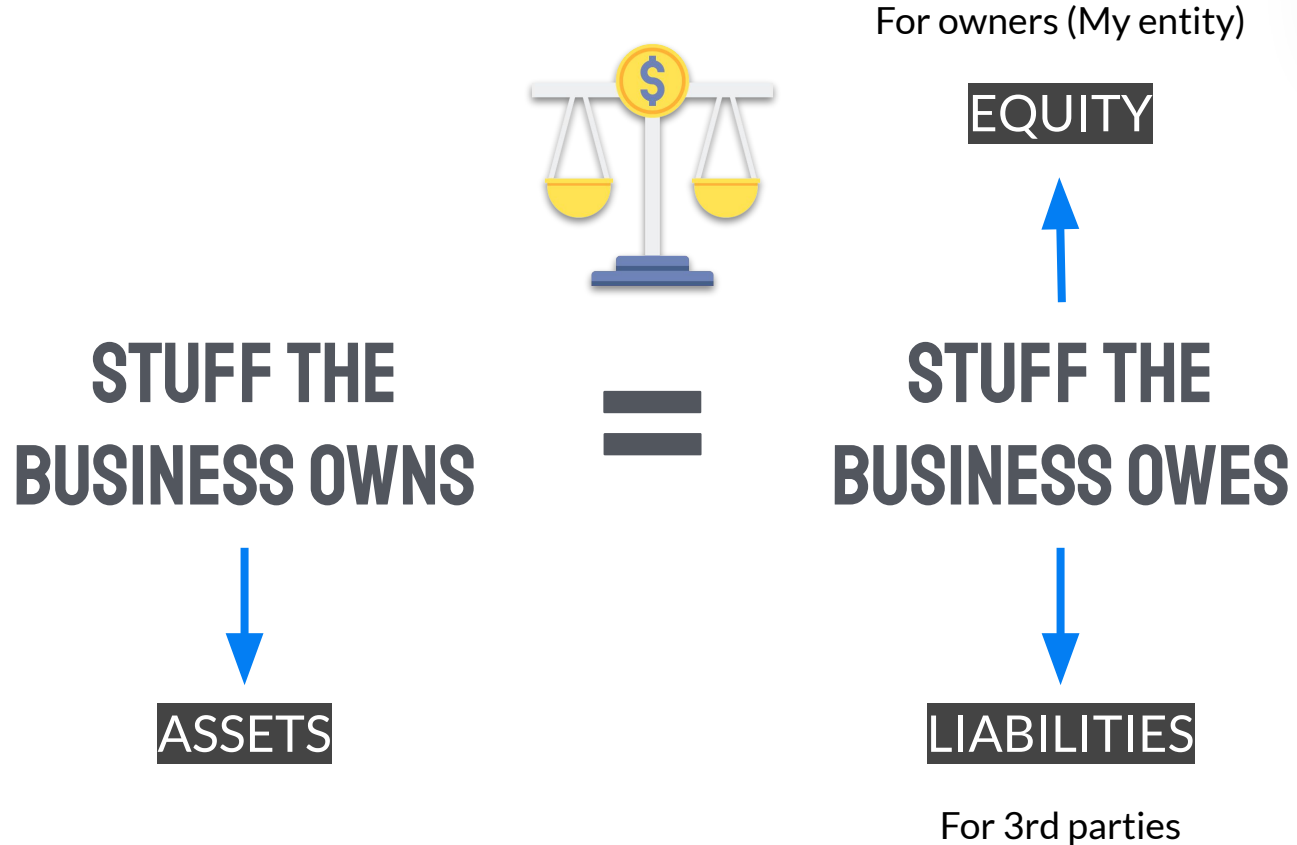




**STUFF THE
BUSINESS OWNS = STUFF THE
BUSINESS OWES**

This equation balances.

Always, always, always!





Accounting Equation



$$\begin{array}{ccccc} \text{ASSETS} & = & \text{LIABILITIES} & + & \text{EQUITY} \\ \text{Cash} & & \text{Liabilities} & & \text{Initial equity} \\ \text{Receivables} & & \text{towards AI/MCs} & & \text{+Revenues} \\ \text{Properties} & & \text{/Stakeholders} & & \text{(-) Costs} \\ & & \text{/LCs} & & \end{array}$$

In other words: Assets=Liabilities+Initial Equity+Revenues-Costs



Accounting Equation

ASSETS = LIABILITIES + EQUITY

Total Assets = Total Liabilities + Equity

THE BALANCE SHEET

The Accounting Equation always balance! And with it we can have the Balance Sheet. The Balance sheet is one of the most important Financial Statements and it is basically a snapshot of our Assets, Liabilities and Equity.

FEB 202X

(Assets) 100 = (Liab) 30 + (Equity) 60 + (Rev) 15 - (Costs) 5

Feb Equity = 60



ACCOUNTING

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MAR 202X

(Assets) 120 = (Liab) 30 + (Equity) X? + (Rev) 25 - (Costs) 5

How much is March Equity?

✓ March Equity X? = Feb Equity + Feb Rev. (-) Feb Costs
March Equity X? = 60 + 15 - 5
March Equity X? = 70

✓ March Equity X? = Assets (-) Liabilities (-) Revenues + Costs
March Equity X? = 120 - 30 - 25 + 5
March Equity X? = 70

TO RECAP

- ✓ **STUFF THAT THE BUSINESS HAS IS EQUAL TO THE STUFF THAT THE BUSINESS OWES.**
- ✓ **THE ACCOUNTING EQUATION IS $\text{ASSETS} = \text{LIABILITIES} + \text{EQUITY}$**
- ✓ **IT ALWAYS BALANCE!**
- ✓ **IT FORMS THE BALANCE SHEET**
- ✓ **BALANCE SHEET IS A SNAPSHOT OF A BUSINESS'S ASSETS, LIABILITIES AND EQUITY AT A SINGLE POINT IN TIME.**

Accounting Cycle

*From transaction to
Financial Statement*

What is the Accounting Cycle?

The accounting cycle is a collective process of identifying, analyzing, and recording the accounting events of a company. It is a standard **8-step process** that begins when a transaction occurs and ends with its inclusion in the financial statements.

The accounting cycle is a methodical set of rules to ensure the accuracy and conformity of financial statements.

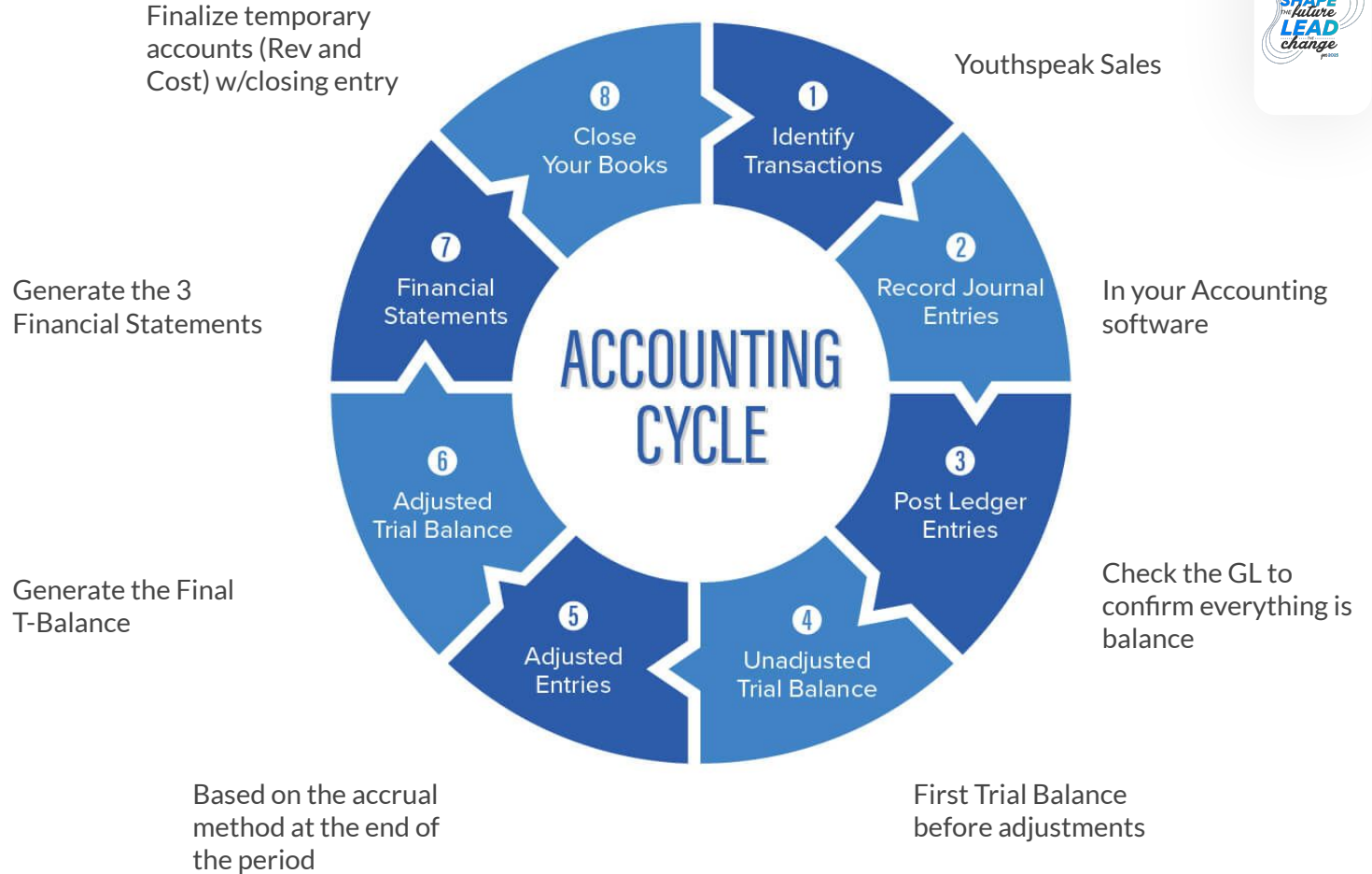
Computerized accounting systems and the uniform process of the accounting cycle have helped to reduce mathematical errors.

Today, most software fully automates the accounting cycle, which results in less human effort and errors associated with manual processing.





8 STEPS



KEY TAKEAWAYS

- ✓ The accounting cycle is a process designed to make financial accounting of business activities easier for business owners.
- ✓ The first step in the eight-step accounting cycle is to record transactions using journal entries, ending with the eighth step of closing the books after preparing financial statements.
- ✓ The accounting cycle generally comprises a year or other accounting period.
- ✓ Accounting software today mostly automates the accounting cycle.



ACCOUNTING

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Each Step of the cycle is important to follow the financial journey of your entity, reflect transparency of your management and take decisions based on reliable data.

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